Discussion: Ricardian Non-Equivalence

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Overview

- Some of the most important open questions in macro: Are we Ricardian? If not, how far away are we and why?
  - Massive implications for any policy involving taxing/spending/borrowing
  - ... i.e. any policy
- Questions cannot be answered by OLS with time series (1980s) or micro evidence from big transfers (missing intercept problem)
- Authors' solution: let's just ask people!
- I like this paper a lot.

MPCs from surveys: do they work?

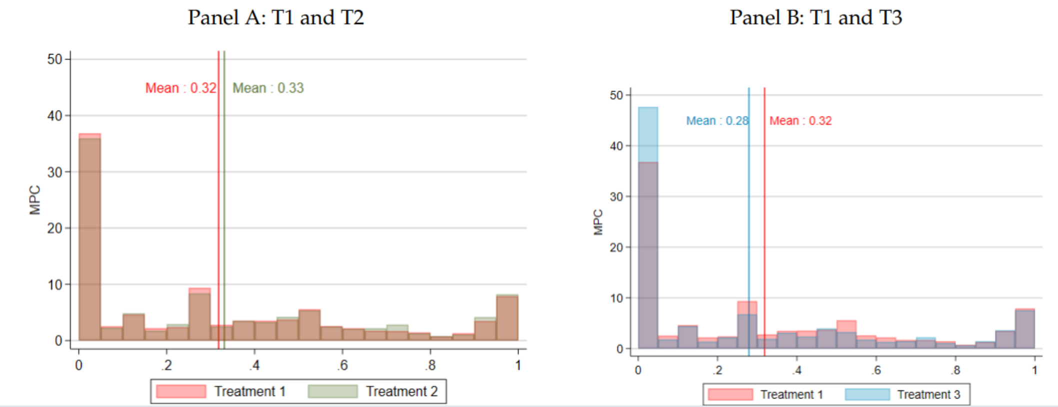
- Maybe surveys are comparable to micro observational studies
  - Colarieti, Mei, and Stantcheva (2024): ask people their MPCs for different scenarios with observational evidence (e.g. tax refunds, stimulus checks) and results line up
- ... but we know that micro studies have limitations
  - Missing intercept problem
  - Extremely different MPC estimates in different settings
  - Large micro estimates imply implausible macro counterfactuals (Orchard, Ramey, and Wieland 2025)
- Why is this survey's MPC (.33) lower than Colarieti-Mei-Stantcheva (.42)?
- A strength: whether or not readers believe the MPC measure (I do), there is still information in the relative values from the treatments.

How should we interpret the treatments?

- Partial equilibrium interpretation:
  - T1: aggregate MPC
  - T2: aggregate MPC out of transfers with non-rational expectations
  - T3: aggregate MPC out of transfers with rational expectations
- General equilibrium effects matter for interpretation
  - e.g. if households believe economy-wide transfers will affect incomes, interest rates, inflation etc. we're not measuring the MPC anymore
- My opinion: PE interpretation is the interesting one (we already have many estimates of GE consumption effects) and more appropriate for the survey
- The mapping from the HANK model back to the MPCs uses the GE interpretation

Is T3 rational enough?

Figure 3.2: Distribution of Marginal Propensities to Consume



What is the MPC decline for the respondents who changed their answers?

Quantitative Survey Implications

- Can write the consumption function as:

$$c_t = -\underbrace{(1-\beta\omega)(1-\theta(\omega)\lambda)}_{\text{MPC out of transfers}}\tau_t + G.E.\ terms$$

- $1-\beta\omega$ is the vanilla MPC, $\theta(\omega)$ is rational attenuation, λ is non-rational
- Implications from survey (PE interpretation)
  - $1-\beta\omega = .33$ (T1)
  - $1-\theta(\omega) = .85$ (T3/T1)
  - T2 $\implies \theta(\omega)\lambda \approx 0$
- Is $\lambda \approx 0$ what we get in the model?

Comparison to Time-Series Evidence

- PE interpretation:
  - In new work, Adams and Matthes (2025) estimate the non-Ricardian consumption function using external macro shocks as IVs (Barnichon-Mesters):
    - $1 - \beta\omega = .14$ (quarterly, vs. .16 by Colarieti-Mei-Stantcheva)
    - $1 - \theta(\omega) = .87$
    - $\lambda = .75$
- GE interpretation:
  - Appropriate analog: consumption effects of taxes and transfer shocks
  - e.g. Romer and Romer (2016), Mertens and Ravn (2012), Lieb et al (2025), etc.
  - Using Mertens and Ravn unexpected tax shocks + local projections, I estimated “MPC” ≈ 2

Smaller comments/suggestions

- Why do we need the inattention mechanism? (vs. assumed behavioral bias) The cost function could be disciplined with σ_y and σ_τ, or discarded.
- Does the paper need 3 different models?
- A result worth highlighting: in the quantitative model, you need non-rational expectations to get the fiscal multiplier > 1.
- Our best empirical evidence is for shocks to fiscal *news*; perhaps model anticipated spending?
- Treatment 3 raises inflation expectations
- MPCs are large; why is HANK the story?
- I really liked this paper!